



UNITECH

For Building and Construction Materials

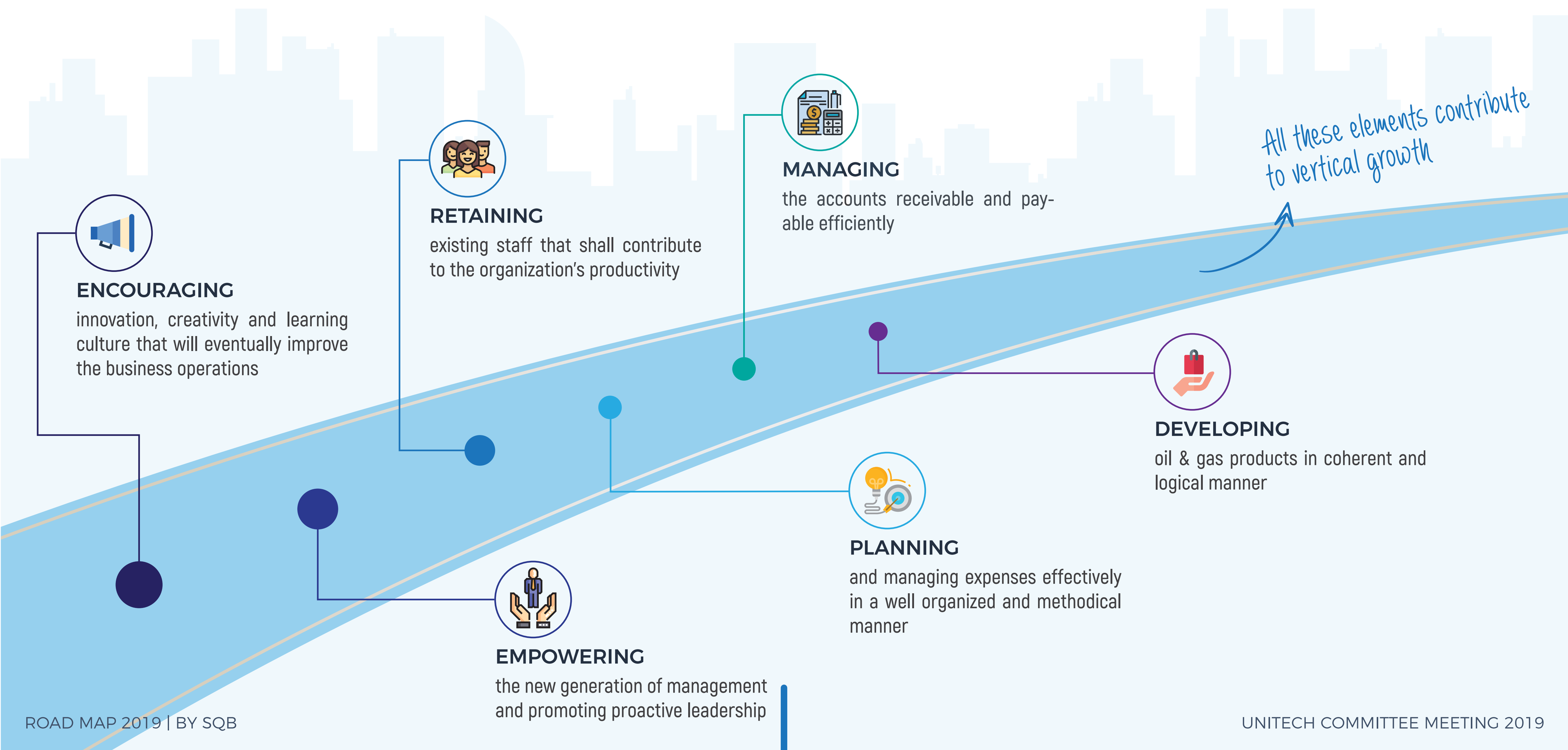


UNITECH COMMITTEE MEETING 2019

SUNDAY
17TH FEBRUARY 2019

UNITECH
DIC OFFICE, DUBAI, UAE

ROAD MAP 2019



BUSINESS GROWTH



At their cores, 21st century companies are fundamentally concerned with growth. Boosting customer numbers, developing economies of scale, capturing greater market share, increasing revenues and profits, and expanding into new markets: ultimately, if a company doesn't grow then it doesn't survive. Following are **3** points that discuss the importance of Growth

- 1.** Endeavour to build businesses with global reach that generate millions of Riyals / Dollars in annual revenue.
- 2.** In order to grow substantially and do so quickly, we must exhibit economies of scale [i.e.] a situation in which the more customers we have, the cheaper the cost of our products becomes.
- 3.** We being a 21st Century company must go after and effectively serve large and expanding markets with lots of consumer demand for solutions to urgent problems.

What happens, though, when our company hits a growth plateau and then struggles to increase in size and operations?

At this point it becomes crucial to start applying one or more of the above discussed **3** key strategies for (re)igniting growth and expanding your business.

BUSINESS GROWTH



VERTICAL GROWTH

Involves efforts to obtain a greater share of the market(s) in which we are currently operating by increasing our sales therein. It means scaling your service/product within our existing line of business. Vertical expansion consists of efforts to increase the size of the business by targeting the market whose dynamics, customer needs and wants, and existent problems are already well known to us. There are at least two main ways in which you can expand your existing market share via vertical expansion:

Adding more features, capabilities, and services to your existing product(s):

The main objective of adding new features to our current product(s) is attracting new customers whose complex needs are not currently being met by our offering. By addressing these needs with new services and thereby bringing on new customers we'll be able to develop additional revenue streams.

Introducing, developing and selling new products:

We can also increase our share of the market by developing and selling new products for which we have determined demand exists.

A Continuous Process



HORIZONTAL GROWTH

Horizontal growth aims at expanding business operations by entering new markets, either new geographical locations and/or business sectors. Horizontal growth is all about progressively expanding into adjacent markets. The most effective way to achieve horizontal expansion is to leverage our existing strengths and knowledge in new markets. Here are 3 ways to pursue horizontal growth:

Replicating our business model in a new market:

Given that your current business model works well in one market, there's a strong likelihood that you can successfully replicate it elsewhere (modifying it on as-needed basis).

Leveraging our existing assets:

Discovering additional ways to monetize the different kinds of value your business could provide is one way to grow horizontally through leveraging existing assets.

Bringing more of your operations in-house:

This is quite a common approach to securing horizontal growth.

HORIZONTAL GROWTH



MOTIVE

Further expanding our international reach and this in itself is a challenging task to expand into adjacent markets.

However, we have the resources & experience to do so, if the key areas are well researched and give a positive indication then opening a branch internationally will be a successful growth strategy.



OBJECTIVE

Understanding the prospect of establishing a Unitech Branch in an untapped new geographical location in terms of its various opportunities and constraints.

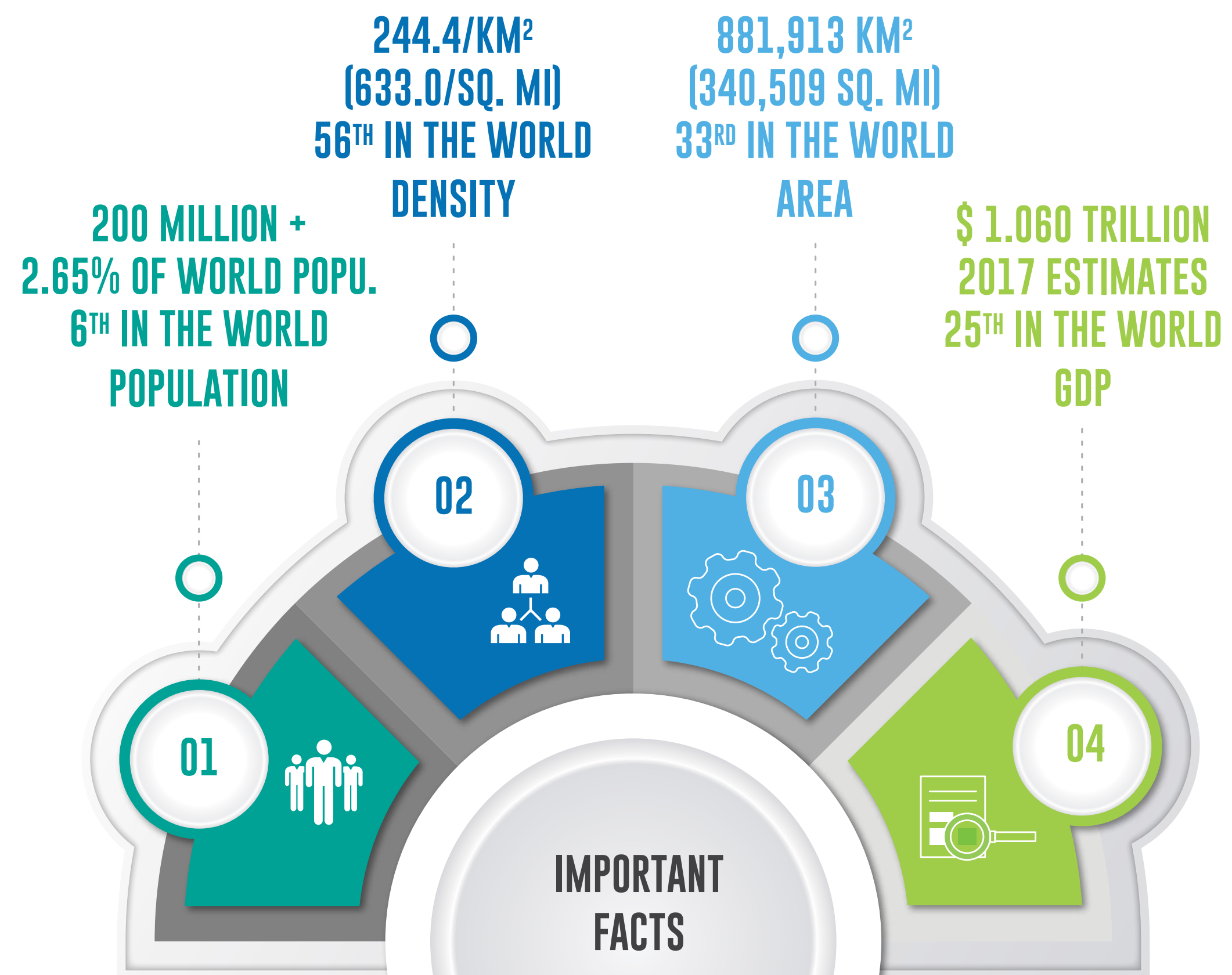
Also to understand the economic potentials from a Unitech's perspective using an unbiased lens.

Always on a outlook for potential markets

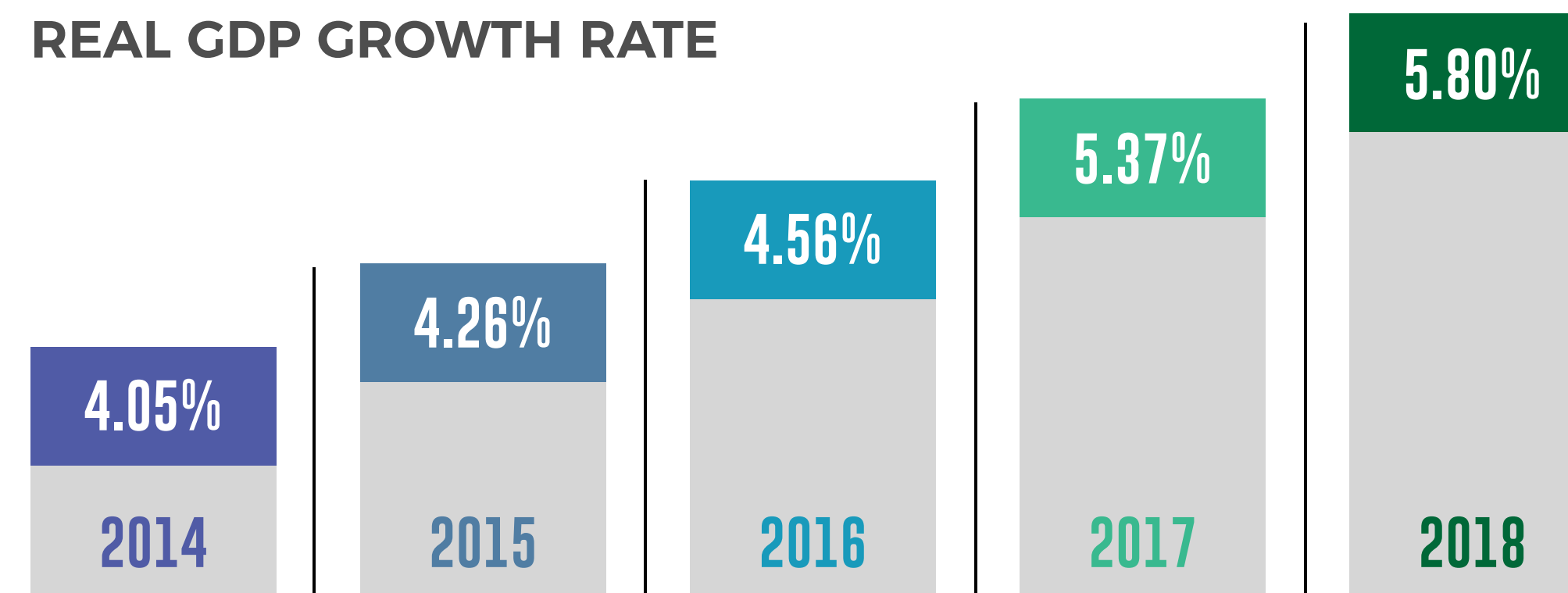
Around the globe the business opportunities are expanding.

Most companies are going through some type of strategic planning effort, and profitable growth is usually on top of the list of initiatives to achieve.

UNITECH PAKISTAN



REAL GDP GROWTH RATE



GDP GROWTH 2018 (TOP 10 | WORLD RANKING)

1ST		India	7.3%	6TH		Turkey	3.5%
2ND		China	6.6%	7TH		Australia	3.2%
3RD		Pakistan	5.8%	8TH		USA	2.9%
4TH		Egypt	5.3%	9TH		KSA	2.3%
5TH		Indonesia	5.1%	10TH		Mexico	2.2%

SOURCE:
INTERNATIONAL MONETARY FUND (IMF)

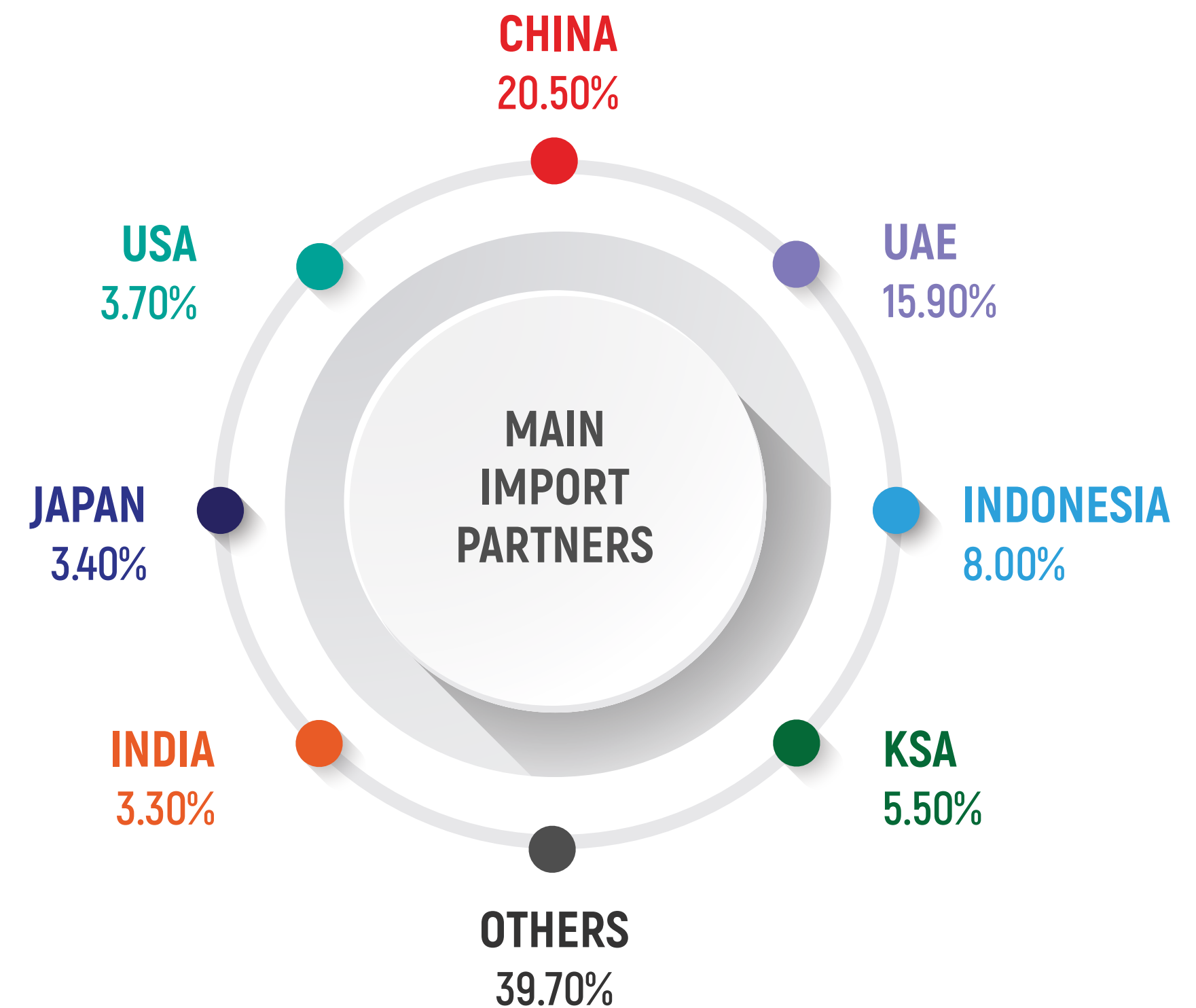
UNITECH PAKISTAN

TOP 20 LARGEST ECONOMIES BY 2030

The following table provides GDP estimates for the 20 largest economies by 2030. This study was conducted by UK based PricewaterhouseCoopers in January 2018. The figures are given or expressed in Billions of US Dollars (\$).

1ST		China	38,008	11TH		France	3,377
2ND		USA	23,475	12TH		Turkey	2,996
3RD		India	19,511	13TH		KSA	2,755
4TH		Japan	5,606	14TH		South Korea	2,651
5TH		Indonesia	5,424	15TH		Italy	2,541
6TH		Russia	4,736	16TH		Iran	2,354
7TH		Germany	4,707	17TH		Spain	2,159
8TH		Brazil	5,424	18TH		Canada	2,141
9TH		Mexico	3,661	19TH		Egypt	2,049
10TH		UK	3,638	20TH		Pakistan	1,868

MAIN IMPORT PARTNERS OF PAKISTAN 2018



SOURCE:
INTERNATIONAL MONETARY FUND (IMF)

UNITECH PAKISTAN

CONSTRUCTION SECTOR OF PAKISTAN

The Pakistan's construction industry is currently the hot cake for foreign investors. It has been estimated that output of the sector has a significant share of 40 to 60% in gross fixed capital formation.



Contributed 3.2%
to the GDP in FY18

Construction Industry
Grew by 9.7% in FY18

There shall be
11.8% Increase
from 2016 to 2025

(According to BMI Research
there is a Healthy Growth
outlook for the sector)

CHINA-PAKISTAN ECONOMIC CORRIDOR (CPEC)

China-Pakistan Economic Corridor (also known by the acronym CPEC) is a collection of infrastructure projects that are currently under construction throughout Pakistan.

Originally valued at \$46 billion, the value of CPEC projects is now worth \$62 billion. The latest "Summit of top government leaders and Investors" which has just concluded in Islamabad, projects the overall international investment in CPEC, covering 2016 to 2030, will shoot up to \$150 billion, terming the \$46 billion initial plans for it as just the starters - just the beginning of its phase one.



ESTABLISHED
22 MAY 2013

OWNER
PUBLIC & PRIVATE

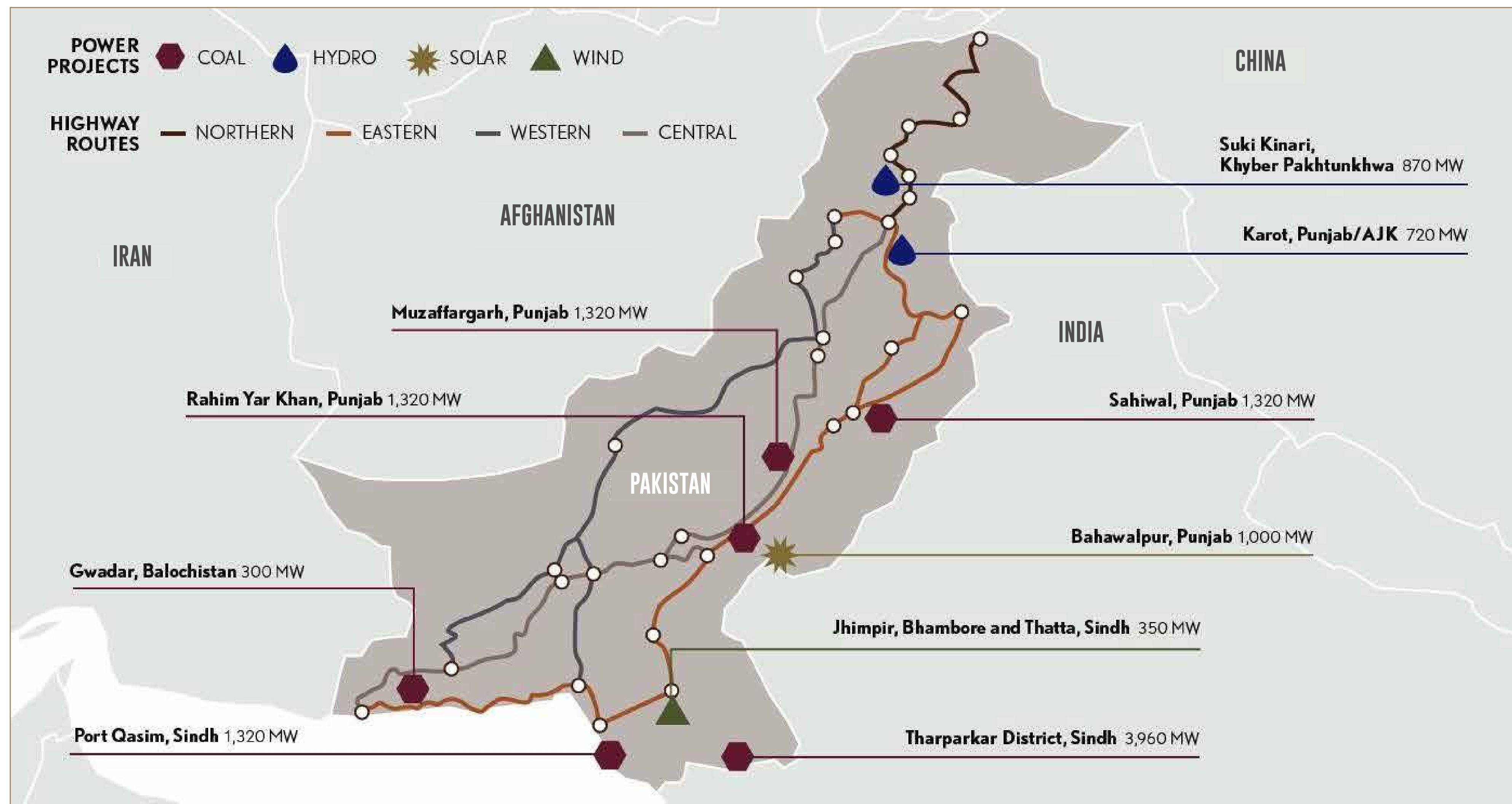
PROJECTS

- SPECIAL ECONOMIC ZONE
- ENERGY PRODUCTION
- INFORMATION TECH.
- AGRICULTURE DEV.
- MASS TRANSIT
- HEALTH CARE

SOURCE:

INTERNATIONAL MONETARY FUND (IMF)

UNITECH PAKISTAN



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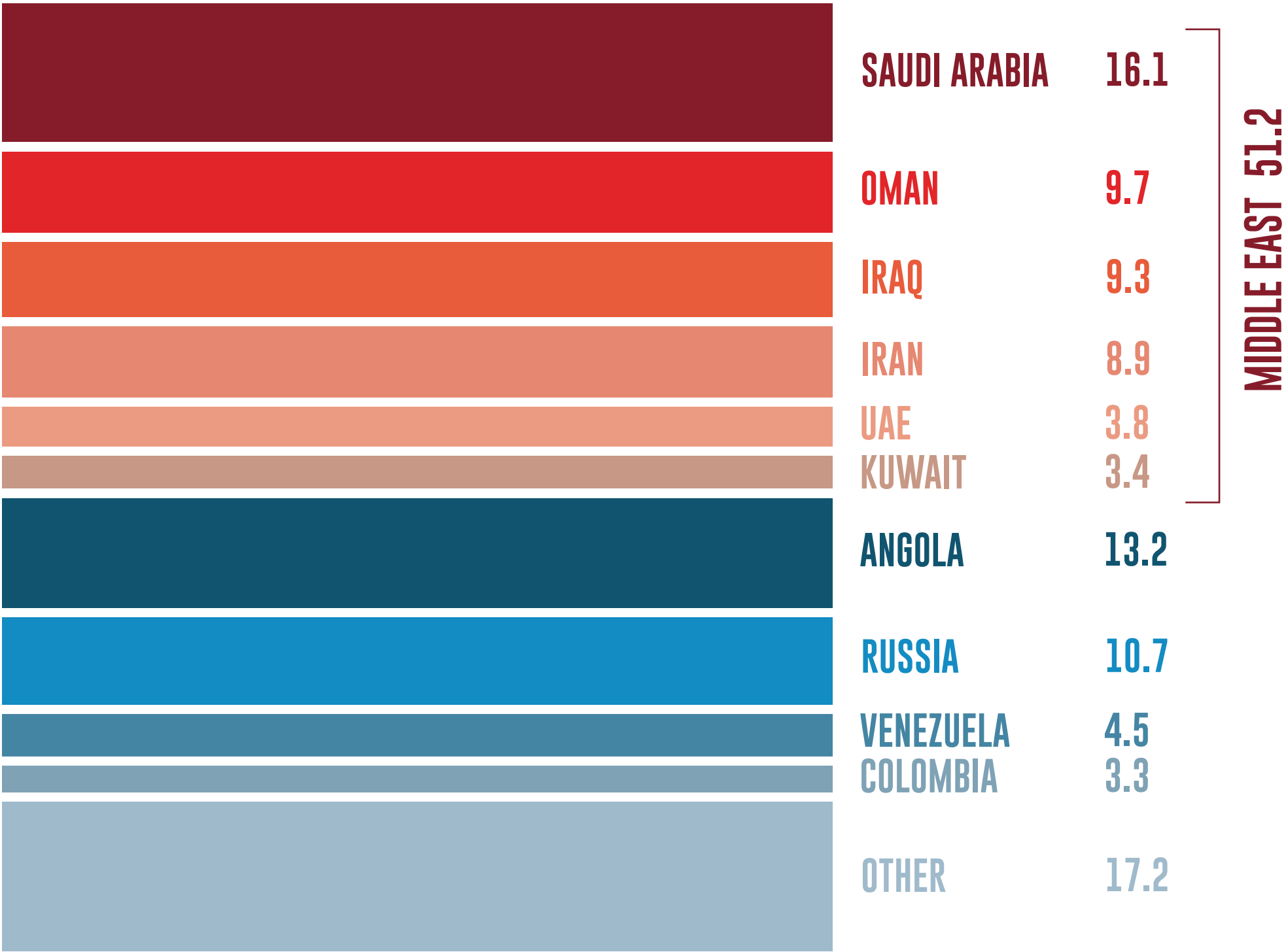
ECONOMIC INTEGRATION WITH MIDDLE EAST

The volume of import of crude oil driven by China from the Middle East account for world's biggest trade which is more than 3 million barrels per day.

The table on this slide shows that the volume of exports of oil to china from different countries. It shows that more than 51% of the total imports of oil comes from Middle East, making China one of the top destinations for exports.

It is expected that by the end of 2035, China's imports of oil will double, far exceeding that of any other country in the world. Keeping this in mind, In Sep 2018 Saudi Arabia officially announced that it will become the third partner in CPEC by investing \$10 Billion for the construction of Oil City in Gwadar. This investment will give the multi-billion-dollar project the major push it deserves as Saudi and China will route all of their oil trade through Gwadar port.

Fully functional Gwadar is set to increase the import of Oil from the Middle East (Especially Saudi Arabia) as the transportation cost will drop by almost 60% - 70% for China and many other Central Asian countries.



SOURCE:
BLOOMBERG: ORIGIN OF CHINA'S OIL IMPORTS, 2017
MILLION BARRELS / DAY

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JOURNEY TO THE EAST

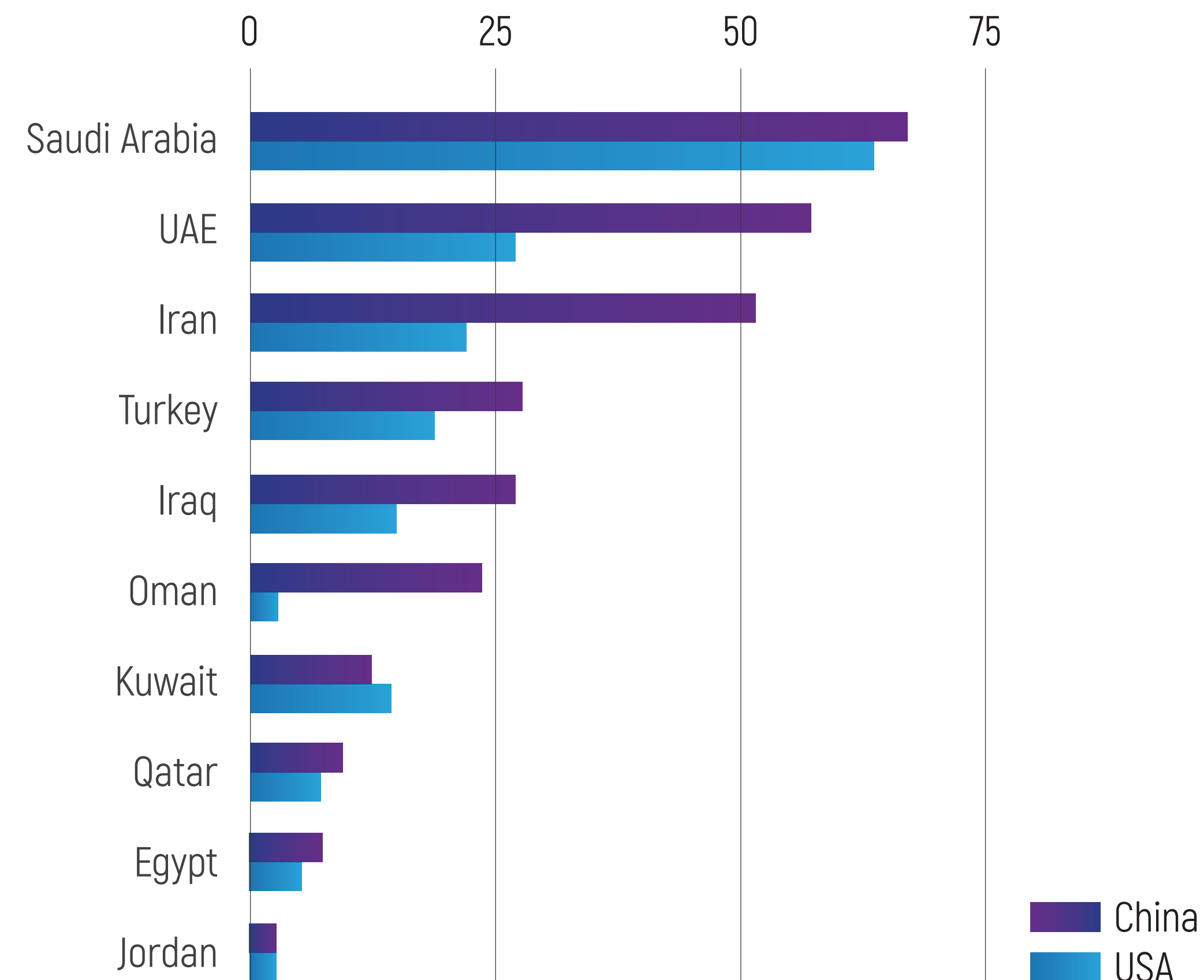
Trade between China and the Middle East has been increased abruptly in the last one decade that is about 600% increase in the end of 2017 with the figure of \$230 billion.

The table shown on this slide displays the volume of overall trade with major economies of Middle East and Southwest corner of Asia. High volume of trade shows the interest and benefit of not only China and Pakistan, but also the Middle East.

Therefore, CPEC will affect this trade business which will be in favour of China as well as Middle East. Gwadar is chosen for it is a place of great strategic importance, enhancing Pakistan's value in the Central and South Asian region, extending from the Persian Gulf through the Indian Ocean to Southeast Asia.

Furthermore, Gwadar may turn into a pivotal harbour city like Singapore, Hong Kong, Colombo or Dubai.

The bilateral trade will become easy between Pakistan, China and Middle East. As a result, the economic activity of this whole region will increase.



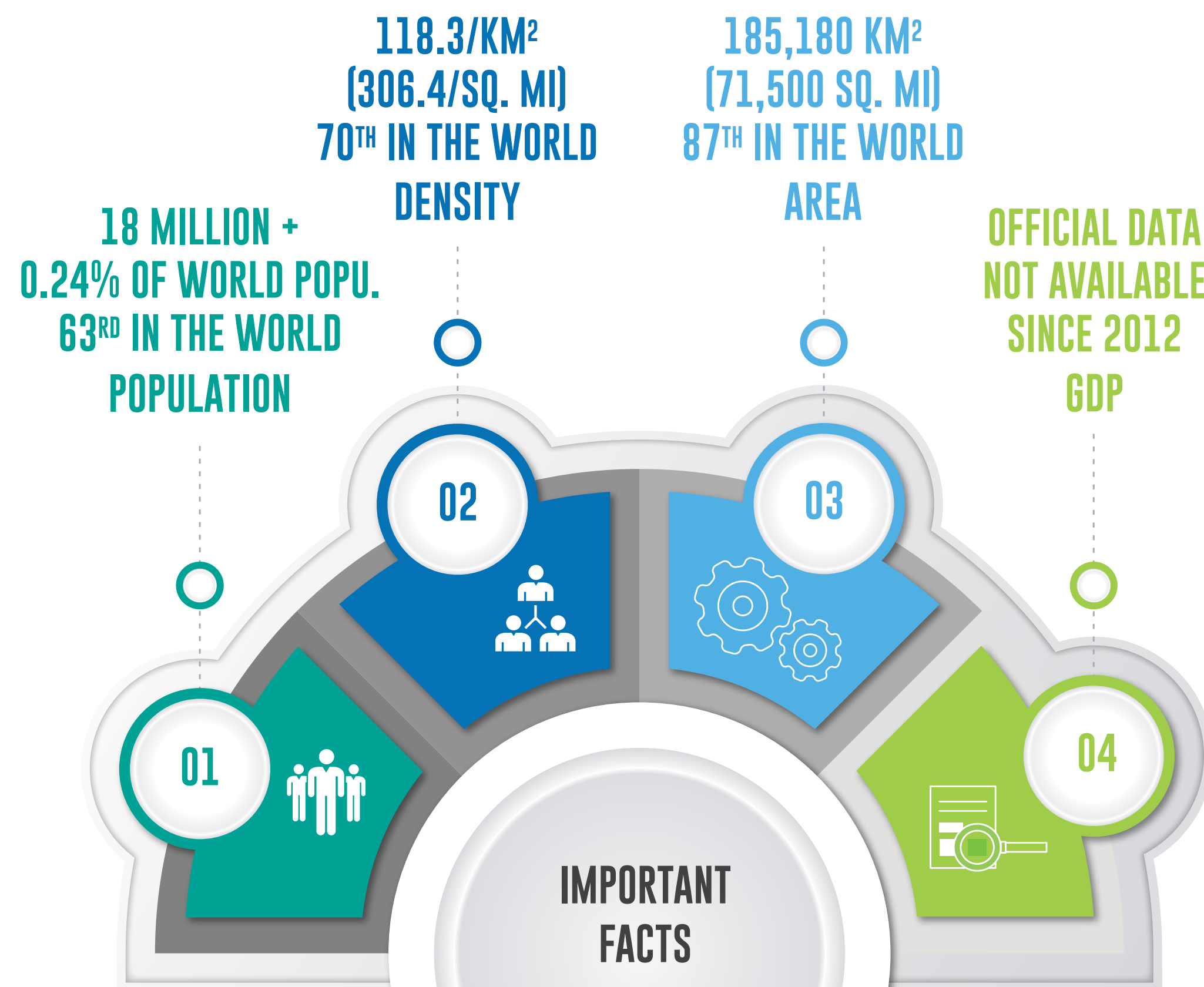
SOURCE:
BLOOMBERG: BILATERAL TRADE FLOWS, 2017

UNITECH PAKISTAN

HAVING A UNITECH BRANCH IN CPEC ERA



UNITECH IN SYRIA



SOURCE:

INTERNATIONAL MONETARY FUND (IMF)

CURRENT SITUATION

The eight years of war is coming to an end, discussion have already started to shoulder the financial burden of rebuilding years of destruction. It is estimated that the Syria's reconstruction will cost between \$250 billion and \$400 billion and Saudi Arabia has pledged to pour in millions of dollars to reconstruct Syria.

Warehousing, Stocking
and Deliveries from
Jordan & Lebanon



Having a Sales Office
in Syria with two Sales
Executives

We will be discussing
our prospect with our suppliers
and finalizing products
applicable for syrian market

BUDGETS 2019

		SALES	GROSS	%	COLLECTIONS
UNITECH KSA	SAR.	455,700,000	112,004,569	24.58	484,000,000
UNITECH BAHRAIN	SAR.	6,000,000	1,500,000	25.00	6,000,000
UNITECH KUWAIT	SAR.	30,000,000	6,600,000	22.00	30,000,000
UNITECH A	SAR.	491,700,000	120,104,569	24.43	520,000,000
UNITECH UAE	AED.	237,000,000	54,716,250	23.09	259,902,010
UNITECH OMAN	OMR.	2,500,000	650,000	26.00	2,762,662
UNITECH JORDAN	JOD.	1,420,000	371,400	26.15	1,694,258
UNITECH B1	SAR.	273,587,600	64,102,566	23.43	300,954,064
UNITECH QATAR	QAR.	90,000,000	21,249,000	23.61	80,608,271
UNITECH LEBANON	USD.	4,350,000	1,152,750	26.50	4,200,000
UNITECH EGYPT	EGP.	120,000,000	27,250,000	22.71	100,000,000
UNITECH B2	SAR.	133,012,500	31,659,283	23.80	118,776,519
UNITECH B	SAR.	406,600,100	95,761,848	23.55	419,730,583
UNITECH A + B	SAR.	898,300,100	215,866,417	24.03	939,730,583

		SALES	GROSS	%	TONNAGE
SFSP KSA	SAR.	105,000,000	19,482,678	18.55	21,000
SFSP DIC	AED.	150,000,000	26,321,676	17.55	30,000
SFSP LEBANON	USD.	4,325,000	783,390	18.11	510
SFSP EGYPT	EGP.	74,000,000	12,455,000	16.83	2,450
SFSP TOTAL	SAR.	289,018,750	51,759,500	17.91	53,960

CASH CONVERSION CYCLE (CCC)

UNITECH A

	DAYS INVENTORY OUTSTANDING (DIO)			DAYS SALES OUTSTANDING (DSO)			DAYS PAYABLE EXTERNAL (DPO)			DAYS PAYABLE AFFILIATES (DPO)			CASH CONVERSION CYCLE (CCC)		
	2017	2018	2019	2017	2018	2019	2017	2018	2019	2017	2018	2019	2017	2018	2019
SALES OPERATION	53	64	80	301	304	257	127	206	159	456	335	305	162	123	139
SFSP KSA	104	80	60	59	74	90	221	155	201	162	50	116	(58)	(2)	(51)
TOSL KSA	0	1	10	1,010	863	734	144	183	195	387	435	436	-	-	-
UNITECH A	92	100	109	229	262	236	158	155	163	-	-	-	163	207	183

CASH CONVERSION CYCLE (CCC)

UNITECH B

	DAYS INVENTORY OUTSTANDING (DIO)			DAYS SALES OUTSTANDING (DSO)			DAYS PAYABLE EXTERNAL (DPO)			DAYS PAYABLE AFFILIATES (DPO)			CASH CONVERSION CYCLE (CCC)		
	2017	2018	2019	2017	2018	2019	2017	2018	2019	2017	2018	2019	2017	2018	2019
UNITECH UAE	48	39	45	187	177	165	112	142	165	140	143	140	123	74	45
UNITECH OMAN	54	37	40	206	158	120	91	72	120	207	167	120	169	123	40
UNITECH JORDAN	164	182	120	235	263	180	77	72	90	339	526	350	322	373	210
UNITECH QATAR	113	136	75	127	119	120	60	74	120	156	217	135	180	181	75
UNITECH EGYPT	26	11	30	152	186	120	59	28	120	106	146	120	119	169	30
UNITECH LEBANON	150	126	75	154	174	120	117	111	120	207	311	180	187	189	75
SFSP UAE	65	60	45	145	146	150	179	165	180	186	164	150	31	41	15
SFSP EGYPT	119	116	60	77	116	115	51	87	150	528	730	180	145	145	25
SFSP LEBANON	165	80	75	329	204	150	92	65	120	575	346	180	402	219	105
UNITECH B	104	96	65	175	167	150	176	169	165				103	94	50

PRIORITY PRODUCTS UNITECH A

FACADES MECHANICAL FIXING SYSTEMS

WASTE AND LINEN MANAGEMENT SYSTEMS

SUSPENSION/SUPPORT SYSTEMS

RAWLPLUG PROFILES

FIRE STOP SYSTEMS (STI)

GYPROC CLOSED PARTITIONING SYSTEMS

FILLER BOARDS

POLYETHYLENE SHEETS

RAISED ACCESS FLOOR SYSTEMS (POLY GROUP)

EXPANSION JOINT SYSTEMS (MIGUA, PROSPEC, AND VEDA FRANCE) EACH BASED ON THE RELATED PROJECT LEVEL OF SPECIFICATIONS

TOILET PARTITIONS

HANDRAILS

STAIR NOSING PROFILES

PRIORITY PRODUCTS UNITECH B1

ARCHITECTURAL PRODUCTS:

EXPANSION JOINT

TILE MOVEMENT JOINT

PROGRESS PROFILES

RAISED ACCESS FLOORING

STI FIRE STOP

SFSP PRODUCTS

CLADDING FIXATION & SUPPORT SYSTEM AND FIXATION GENERAL

CABLE MANAGEMENT SYSTEM (TRAY TRUNKING, LADDER & SUPPORT)

PRIORITY PRODUCTS UNITECH B2

OLD PRODUCT RANGE

STEEL PRODUCTS (52.6 % FROM THE TOTAL GROSS PROFIT)

CABLE MANAGEMENT SYSTEM
BLOCK WORK & PLASTERING
STANGLE
GARBAGE CHUTE

BETACONTECH PRODUCTS (35.14 % FROM THE TOTAL GROSS PROFIT)

EXPANSION JOINT COVER
STI FIRE STOP
MEA DRAIN
RUBBER PROTECTION
DUCT INSULATION
ENTRANCE MAT

UNIPRO PRODUCTS (12.26 % FROM THE TOTAL GROSS PROFIT)

CORK & BITUMEN BOARD
PROTECTION BOARD
CEMENT BOARD
GEOTEXTILE & ROCKWOOL

NEW PRODUCT RANGE

GYPROC DRYWALL SYSTEM
POWER TOOLS
HAND TOOLS
GI CONDUITS
JOINT SEALANT

OIL & GAS PRODUCTS

PRESENTED BY DMK

MANUF. OF FIBER GLASS CABLE TRAYS

PRESENTED BY TAN

MANUF. OF BETA CONTECH PRODUCTS IN SFSP

PRESENTED BY TAL

MULTI-D OPERATIONS

PRESENTED BY RTN

FINALIZING STANLEY BLACK & DECKER

PRESENTED BY ESH

OPEN DISCUSSION

THANK YOU